

Marty - here are two versions of direct access legislation that will get some attention next week. The first is the current version of the Bowen bill. The second is a retail coalition bill that will be introduced next week. Primary differences are this:

The Bowen bill gives more latitude to the PUC to determine whether retail customers can participate in direct access. The Coalition bill gives a much more prescriptive description on how the exit fee should be calculated.

In the Coalition bill, there are two components to the exit fee:

a backward looking part to cover DWR costs since Jan 17

a forward looking part to cover unavoidable future costs, which does not apply if

- for res and small commercial customers, DA load is less than 5% of total res and small commercial load
- for large customers, total DA load is less than the "net short"
- for self gen customers, the customer has given 180 days prior notification

Both have a re-entry fee for return to utility service.

- DA coaltn draft bill - May 16 with edits.DOC

Marty Sunde@EES

05/17/2001 07:42 AM

To: Harry Kingerski/NA/Enron@ENRON

cc:

Subject: Re: Final Commission Decision on 3c/kwh Rate Design

Harry,

Thanks.

Can you get me whatever has been written concerning the proposed exit fees for customers that contemplate using a direct access provider in the future?